

MARKET ANALYSIS

State of Utah Buys Franklin Campus: The Buyer Is the Only Buyer That Matters

A \$128-per-square-foot office deal shows how government demand is setting a floor that private capital cannot match.

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A source-grounded Light Tower Insight. The complete note follows.

The State of Utah just paid \$40 million for a five-building office campus in West Valley City. The price works out to roughly \$128 per square foot for a 312,234-square-foot property that was originally built as FranklinCovey's corporate headquarters. That number is not the story. The story is who bought it and why no one else could.

This is a government buyer operating on a cost of capital that no private office investor can access. The state does not need to underwrite a 12 percent IRR. It does not need to model rent growth or cap rate expansion. It needs a headquarters for the Utah Department of Health and Human Services, and it needs it at a price that looks reasonable on a 30-year public balance sheet. That is a fundamentally different underwriting framework than anything available to a private equity fund, a REIT, or a family office.

The transaction reveals something uncomfortable for the office market: the bid that is actually clearing is not coming from institutional capital. It is coming from entities that do not require a market return. Government buyers, universities, and nonprofit users are setting the floor on office pricing in a way that private capital cannot replicate. That is not a recovery signal. It is a structural bifurcation.

Consider the basis. At \$128 per square foot, the Franklin Campus trades well below replacement cost for suburban Salt Lake City office product. But it also trades at a price that implies a going-in cap rate that would look thin to most private investors, especially when factoring in vacancy, leasing costs, and capital expenditures. The state does not care about those metrics the way a lender or equity partner does. It cares about functional space, location, and a price that fits within a legislative appropriation.

The seller, presumably FranklinCovey or a successor entity, gets liquidity at a price that clears. That is not a victory lap. It is a recognition that the private market for large suburban office campuses is shallow, and that the most reliable buyer in the room is the one that does not need to sell again. The state will not flip this asset. It will occupy it, maintain it, and depreciate it over decades. That is a different risk profile than any private owner can offer.

For lenders and sponsors watching the office market, this deal is a data point, not a trend. It does not

mean that suburban office is repricing upward. It means that a specific class of buyer with a specific cost of capital and a specific mission can transact at prices that look low to the public but high relative to what private capital would pay. The gap between those two valuations is the real story.

What should a market participant test next? If you own a suburban office asset in a state capital or a metro area with a strong public sector presence, the question is whether your local government has a similar need and a similar budget. If it does, you have a potential exit that does not depend on the return of private office demand. If it does not, you are still waiting for a bid that may not come.

The Utah deal also raises a question about pricing transparency. When a government buyer pays \$128 per square foot, does that become a comp for private transactions? It should not. The underwriting is too different. But in a market starved for transaction data, every deal gets cited. The risk is that private sellers begin to anchor on government pricing and refuse to sell at the lower basis that private capital requires. That would slow transaction volume further, not accelerate it.

Colliers brokers Brandon Fugal and Chris Kirk handled the transaction. They found the one buyer that could make the math work. That is the skill that matters in this market: not finding the highest price, but finding the buyer whose constraints align with the asset's reality.

The State of Utah is not a signal that office is back. It is a signal that office has a floor, but only for the buyer that does not need to sell.

SOURCES

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<https://rebusinessonline.com/state-of-utah-acquires-office-campus-in-west-valley-city-for-40m/>

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